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Asia Economics | Asia Pacific

The Viewpoint: How Asia is funding its corporate capex

Asia's capex super-cycle should face few macro funding constraints, supported by high domestic savings and current account surpluses even as investment accelerates. Capex will be funded by internal cash flows, followed by bank loans and then equity markets, with lower dependence on credit markets.

Key Takeaways



Backdrop – funding the capex super-cycle:

- We have been constructive on the capex outlook for Asia.
- We think AI and related digital infrastructure spending, energy, defense, and industrial capex will drive a capex super-cycle for Asia.
- We expect capex to rise from US\$11 trillion in 2025 to US\$16 trillion in 2030.

See inside for detailed discussion of the ways and means of funding, with a closer look at major economies.

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Summary – How Asia has been funding its corporate capex so far

Macro funding is not a challenge: At the outset, we think that this capex super-cycle will be very similar to the mid-2000s in terms of both strength and duration.

During that cycle, most economies had rising current account surpluses. In other words, while investment was rising, saving was rising at an even faster rate and so most Asian economies continued to run current account surpluses.

We think it will be a similar setup this time around. Rising capex and exports are a double boost to Asia's saving rate -- they will boost productivity growth, supporting a rise in corporate sector gross saving.

Overall, eight out of 12 economies in the region run a current account surplus – and this trend is set to continue into 2027.

Which source is more prevalent – bank loans for Asia, non-bank for the US: In Asia, outside of internally generated cash flows, loans are still the biggest source of funding for capex as compared to the US where market-based and non-bank financial instruments dominate.

In China, loans account for 70% of the total commercial sector funding as of 1Q26, while in Asia ex-China economies, the share is a bit lower but a still substantial 60%.

Equity and investment fund shares are the second largest source, while there is little reliance on credit markets – which reflects the fact that credit markets in Asia are not as well developed as those in the US.

In this cycle, rates locally are lower than those in the US, while Asian currencies have also been facing depreciation pressures which make it less attractive for companies to raise USD debt. Reflecting this, net credit issuance has been negative, the fourth consecutive year this has been the case.

Asia's AI capex is largely funded through internal cash flows

While Asia's AI capex is growing sharply, it is still much lower than in the US.

Specifically, Gary Yu – who leads Morgan Stanley's equity research coverage of Asian Internet and Telecoms – notes that AI capex is likely to rise from US\$80bn in 2025 to US\$195bn this year and further to US\$250bn next year.

Around 85% of the funding will be provided by internal accruals and cash on balance sheets.

For the US, our credit strategy team estimates that of the total US\$3.21tn funding needs, 54.5% will be met by credit markets.

For funding semis capex, the companies are even more flush with surplus cash than the hyperscalers and so are likely to finance all of their capex through this channel.

Details by economy – how Asia ex-China economies are funding their corporate capex

We take a deeper look into the following top five economies: Australia, Japan, Korea, India, and Taiwan.

For most of these Asia ex-China economies, outside of internal cash flows, loans are the predominant source of funding. But it is the second-ranked source which will differ across markets.

- In Australia, bank loans and equity/investment fund shares are nearly equally important sources of funding.
- For Japan, the skew is overwhelmingly towards bank loans while debt securities come a distant second.
- For Korea, the second-largest funding source comes from trade credits and account payables.
- India relies on FDI funding as well as equity/investment fund shares
- Taiwan differs from the rest in that its trade credits and account payables are actually the largest source of funding, even surpassing loans.

China – bank loans are the dominant channel: Banks provide 70% of the funding, while debt securities are second at 15% of funding.

Outlook for funding – banks to remain the dominant channel

The ratio of corporate credit to GDP in Asia ex China was 74% as of December 2025, lower than 75% a decade ago.

We believe that this lends longevity to the capex cycle in Asia.

As it is, bank credit has already accelerated to an 19-year high for Asia ex-China economies.

We believe that this will remain the dominant channel for funding corporate capex in this cycle.

Asia's industrial and capex cycle is backed by multiple new structural demand drivers

Four key interlocking structural drivers of Asia's capex super-cycle

AI and AI-related digital infrastructure: AI and related spending are still a top priority for CIOs and Asia's corporate sector has to accelerate spending to catch up with the US. Asia also remains a key supplier to the AI supply chain and these companies will collectively lift their capex too to meet the rising demand.

Energy: Across the region, economies are having to spend more on energy for powering AI, making the energy transition to renewables, and for energy security. This would have moved up the policy agenda after the recent energy shock.

Defense spending: Policymakers across the region had already been budgeting increases in their defense spending in the coming years. The geopolitical tensions have only further cemented this planned increase in expenditures.

Broader industrial capex: Asian economies are onshoring industrial supply chains, which – alongside the rise in spending in the three segments above – will catalyse a broader capex and industrial cycle as the full effects work through the entire supply chain. There will be a positive reinforcement loop.

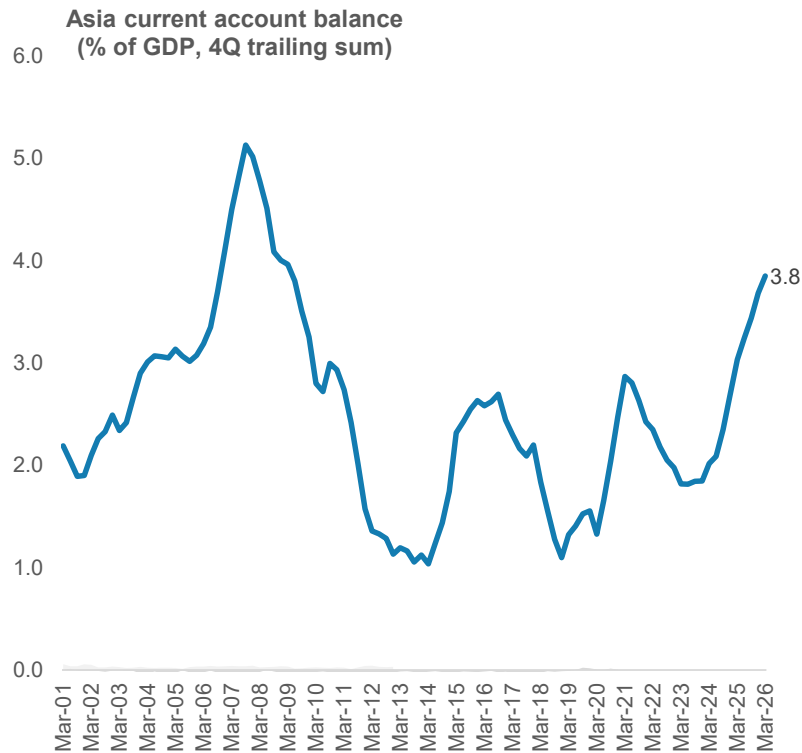
Sizing the capex across drivers

US\$bn									
	AI hyperscaler spending (a)	Semis mfg capex (b)	Hyperscaler and semis mfg capex (a+b=c)	Energy capex (d)	Defense capex (e)	New structural demand drivers (c+d+e=f)	Broader industrial capex (g)	Remaining capex (h)	Total capex (f+g+h)
2026E	200	250	450	900	260	1610	4000	6500	12110
2030E	400	430	830	1350	570	2750	5240	7700	15690
Delta	200	180	380	450	310	1140	1240	1200	3580

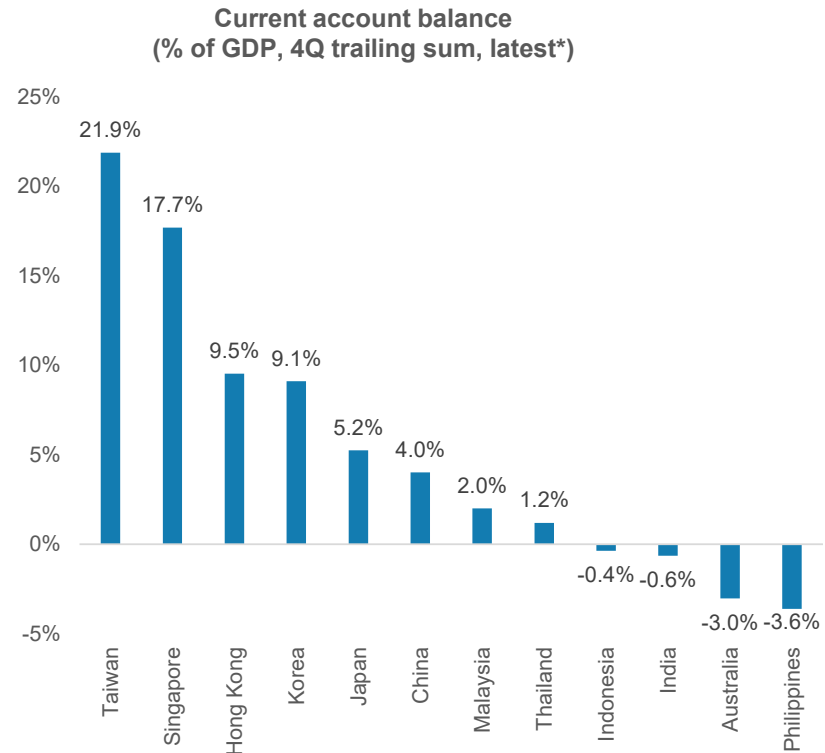
Source: CEIC, Haver, IEA, Lowy Institute, Morgan Stanley Research estimates; Note: *We exclude China's real estate capex given the structural decline in property demand.

Most Asian economies run current account surpluses and so do not face macro funding challenges

Asia's current account surplus to GDP has risen to a post-GFC high



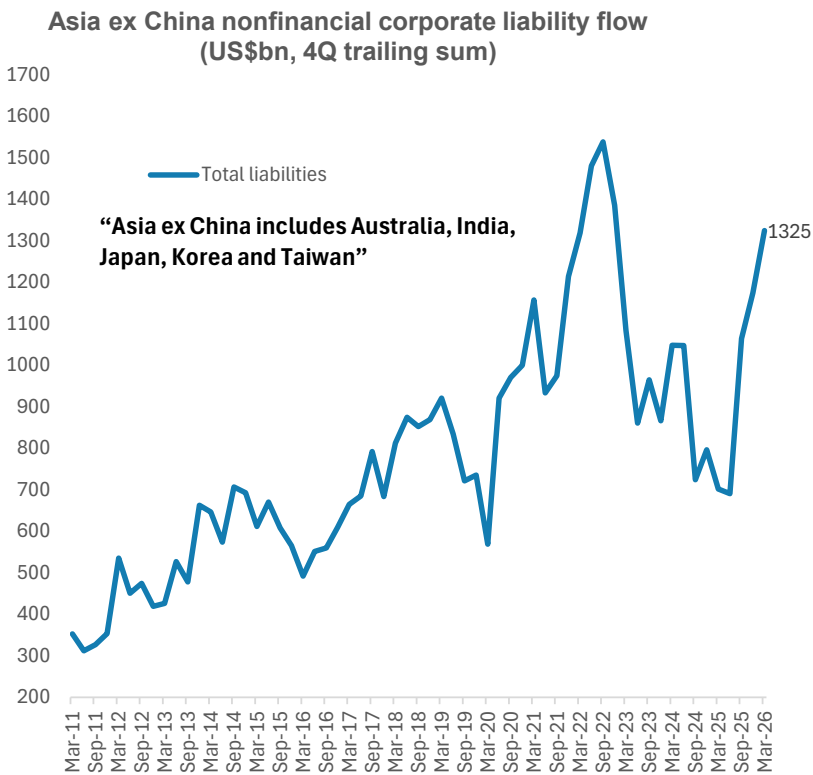
Eight out of 12 economies in the region run a current account surplus



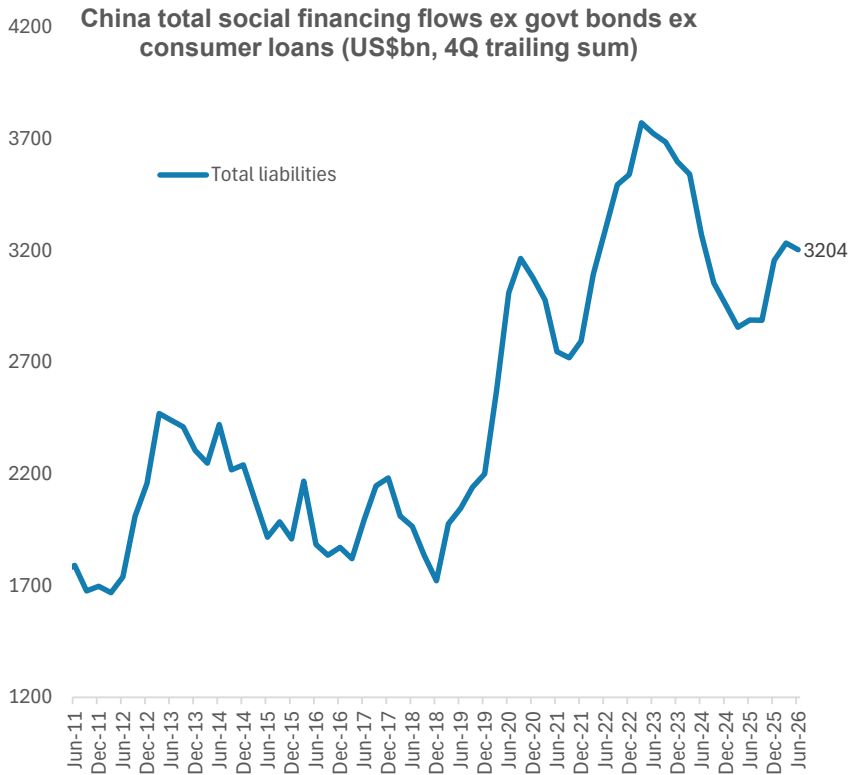
Source: CEIC, Haver, Morgan Stanley Research; Note: For RHS latest is 2Q26 for China, Malaysia, Singapore and Japan, 1Q26 for others.

Asia’s corporate sector funding needs have risen alongside capex

Asia ex-China corporate sector liability has risen sharply



The rise has been relatively more moderate in China given still sluggish domestic demand



we exclude government bond financing from TSF and subtract changes in outstanding consumer loans.

How Asia is funding its corporate capex – a comparison with the US and Euro Area

Non-financial corporate sector funding mix (% share, latest 4Q trailing sum)						
	Loans	Equity and investment fund shares	Debt securities	Trade credits and account payables	FDI and external claims	Other liabilities
US	18%	8%	13%	22%	-1%	41%
Euro Area	42%	27%	9%	19%	0%	2%
China	70%	3%	15%	0%	0%	13%
India	80%	7%	5%	0%	8%	0%
Korea	33%	9%	1%	23%	15%	20%
Taiwan	30%	22%	9%	39%	1%	0%
Australia	53%	50%	1%	2%	0%	-6%
Japan	107%	-11%	8%	1%	1%	-6%
Asia ex China	70%	9%	6%	8%	6%	1%
Asia	72%	4%	11%	2%	2%	9%

Includes loans from private equity and hedge funds

Trade credit strongly correlated with stronger exports trend

Driven by decline in liabilities in derivatives holdings

Claims of insurance and pension funds

Share buybacks leading to decline in listed equity liability

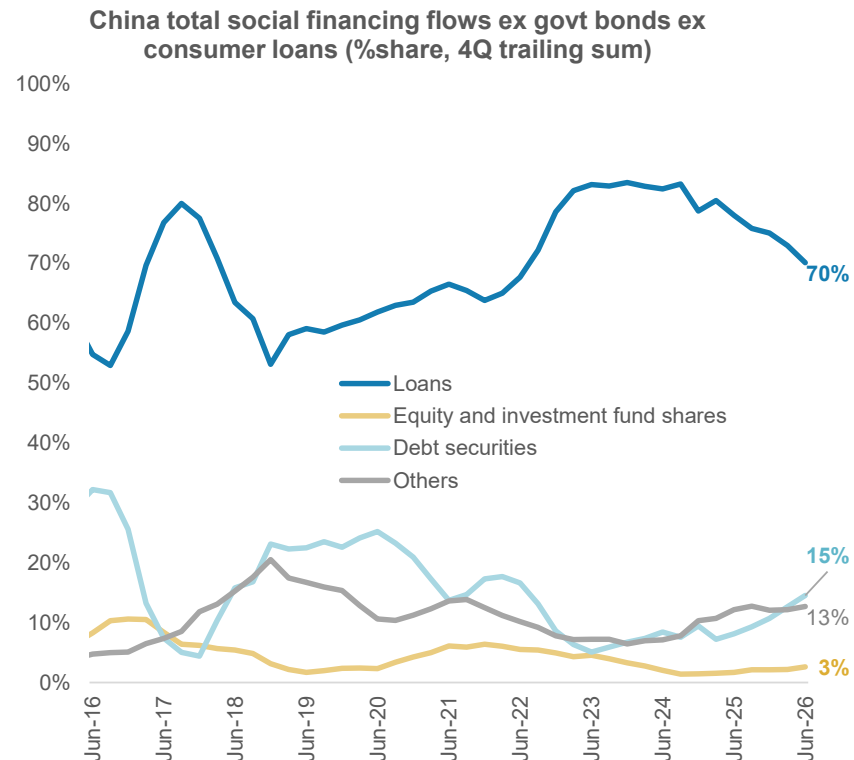
Source: CEIC, Haver, Morgan Stanley Research estimates; Note: Flow of funds liability data used. Data as of 2Q26 for China, 1Q26 for other economies. Taiwan 2025-26 data as MS estimates.

For Asia, bank loans are the biggest source of funding

Loans remain the biggest component within Asia ex China corporate sector funding mix

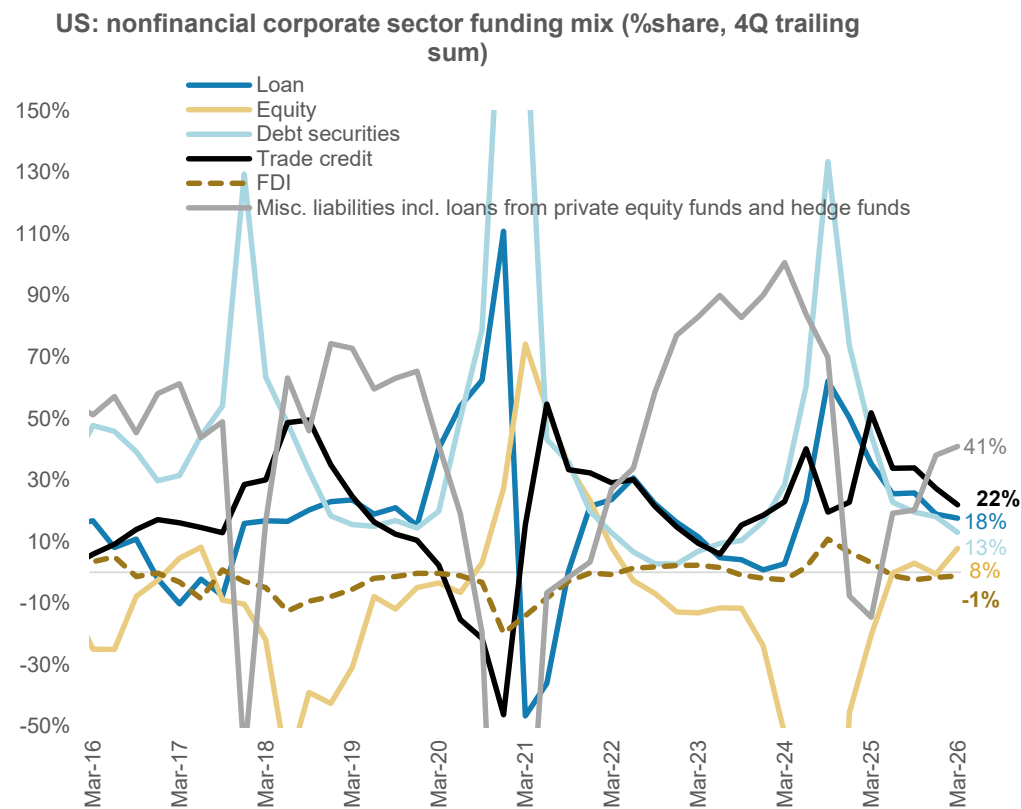


Similarly, loans also hold the largest share for China



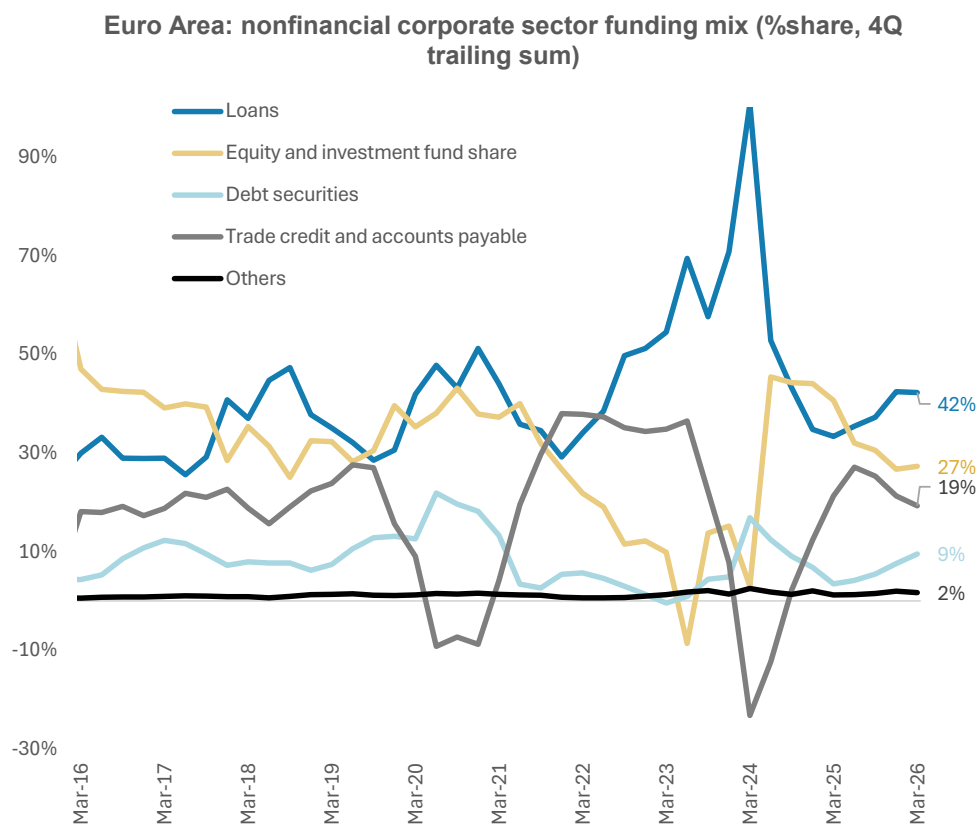
Source: CEIC, Haver, Morgan Stanley Research; Note: LHS chart is based on flow of funds liability flows data. Due to data availability constraints, Asia ex China includes India, Korea, Taiwan, Japan and Australia. Taiwan's official flow of fund data are available through 2024, and figures for 2025 onward are our estimates. India's funding mix before FY2019-20 is based on our estimates derived from a historical flow of funds dataset that has been discontinued. Taiwan's data are available on an annual basis and have been interpolated to quarterly frequency. For India, data are annual prior to 2024 and have been interpolated to quarterly frequency; official monthly YTD data are available from 2024 onward. Official quarterly data are used for all other economies. For RHS, we estimate China's funding mix using monthly Total Social Financing (TSF) flow data. To better proxy corporate sector liabilities, we exclude government bond financing from TSF and subtract changes in outstanding consumer loans.

The US corporate sector funding mix is more volatile, and is currently funded more by private credit, loans and debt securities...



Source: CEIC, Haver, Morgan Stanley Research; Note: US misc. liabilities include claims of pension fund on sponsor (unfunded pension obligations of corporations), pension fund contributions payable and unidentified misc. liabilities. Unidentified misc. liabilities, which is calculated residually, may include such items as loans from private equity funds and hedge funds.

...while the Euro Area is funding more through loans and equity markets

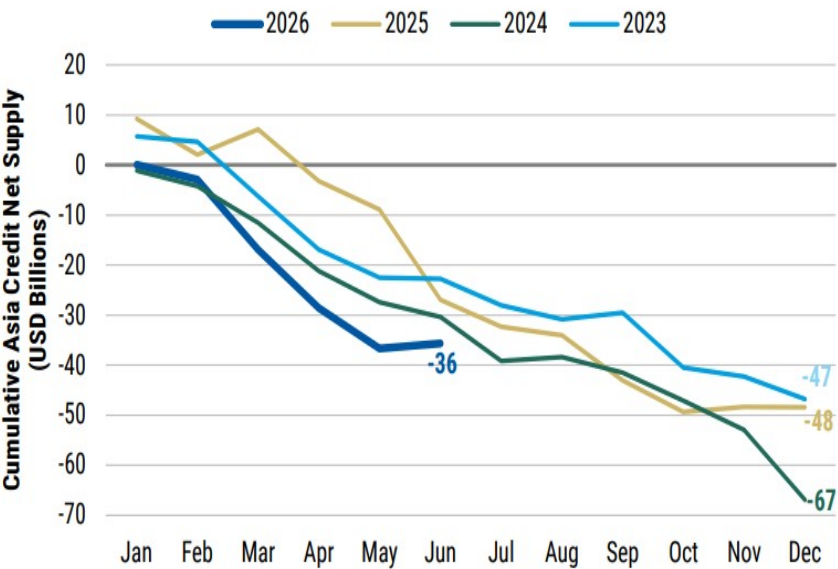
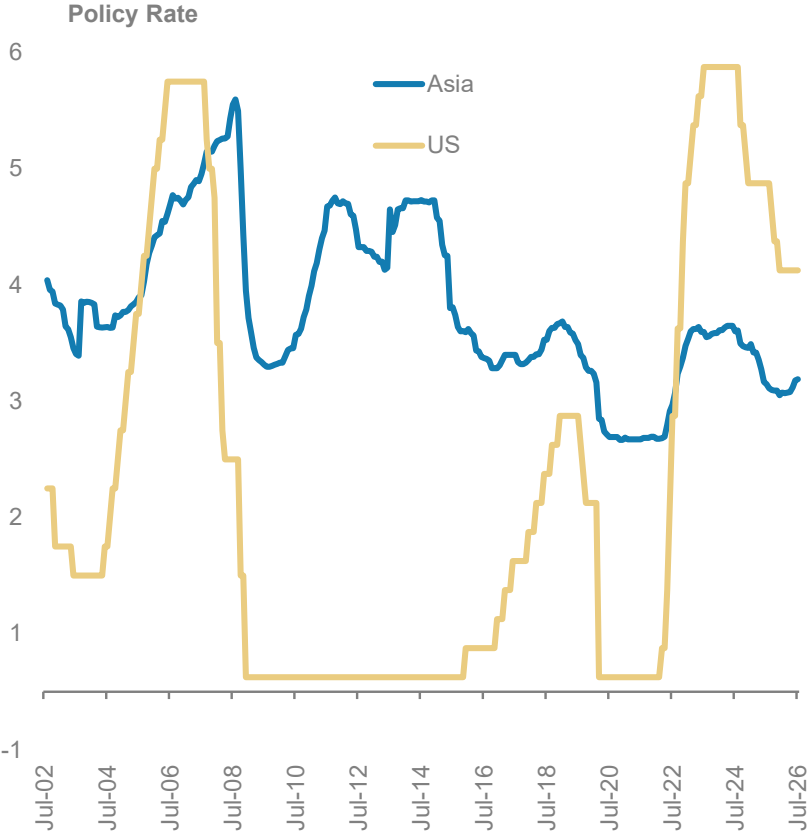


Source: CEIC, Haver, Morgan Stanley Research; Note: US misc. liabilities include claims of pension fund on sponsor (unfunded pension obligations of corporations), pension fund contributions payable and unidentified misc. liabilities. Unidentified misc. liabilities, which is calculated residually, may include such items as loans from private equity funds and hedge funds.

Less incentive to rely on USD financing, resulting in contracting USD credit net supply

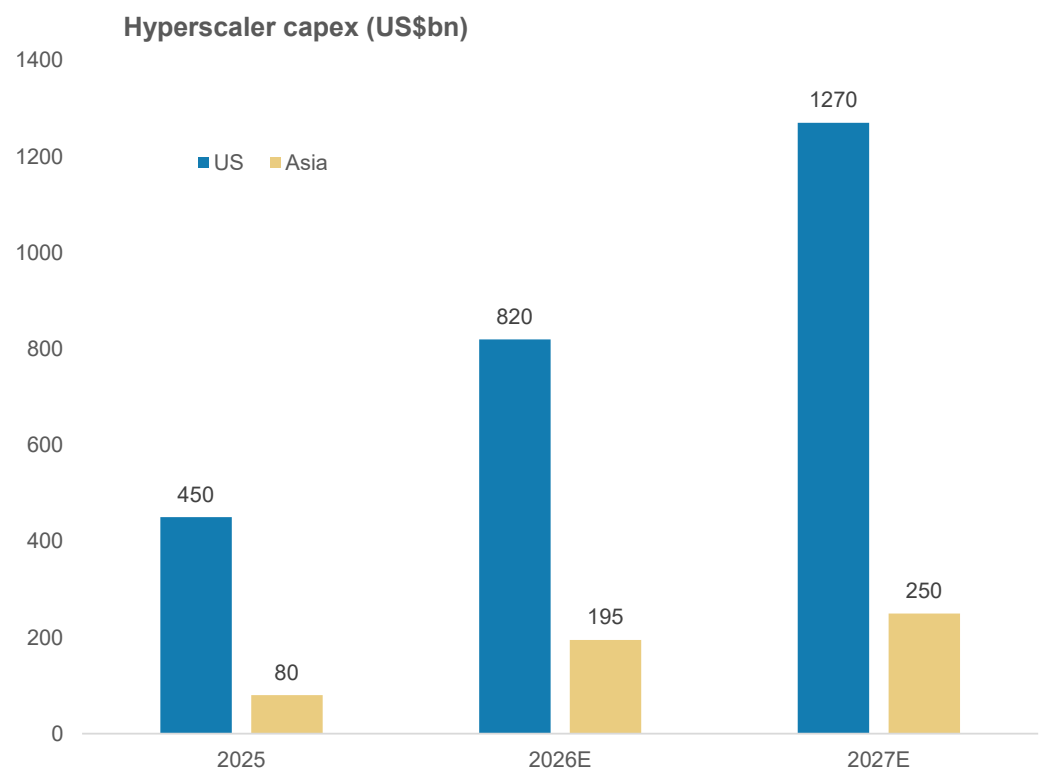
Asian economies are likely to continue to lean on local currency markets for financing given the higher US rates environment

Asia USD credit net supply has been contracting in recent years given relatively more expensive USD funding vs. local currency funding



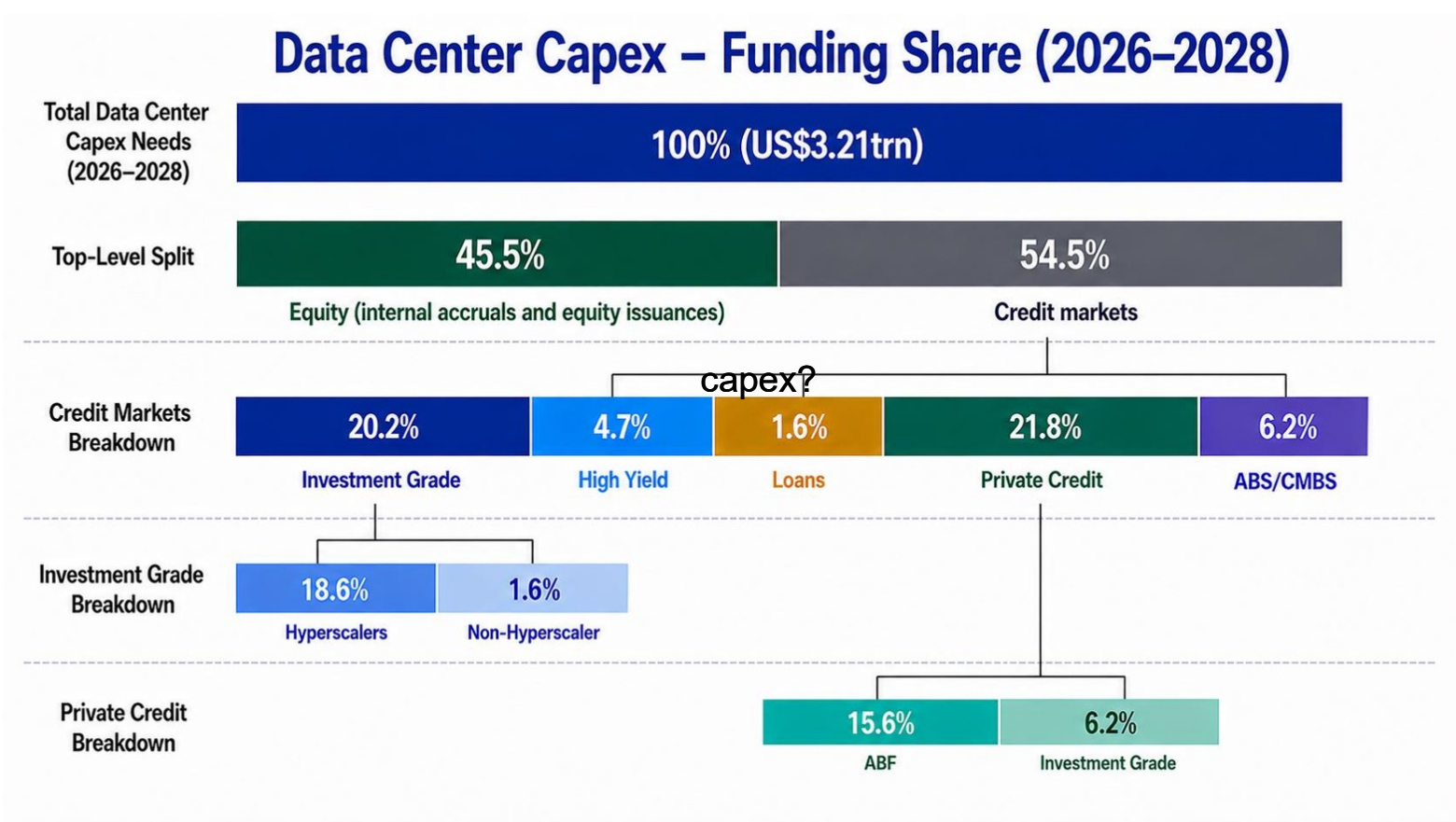
Source: CEIC, Haver, Morgan Stanley Research

US and Asia: AI capex trends



Source: Company data, Morgan Stanley Research forecasts

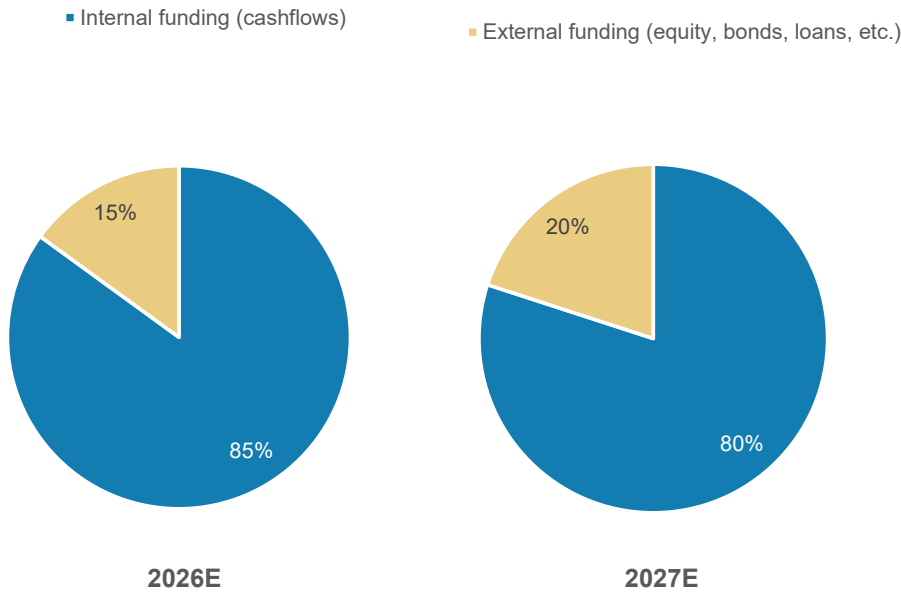
How the US will fund its AI capex



Source: Company data, Morgan Stanley Research forecasts

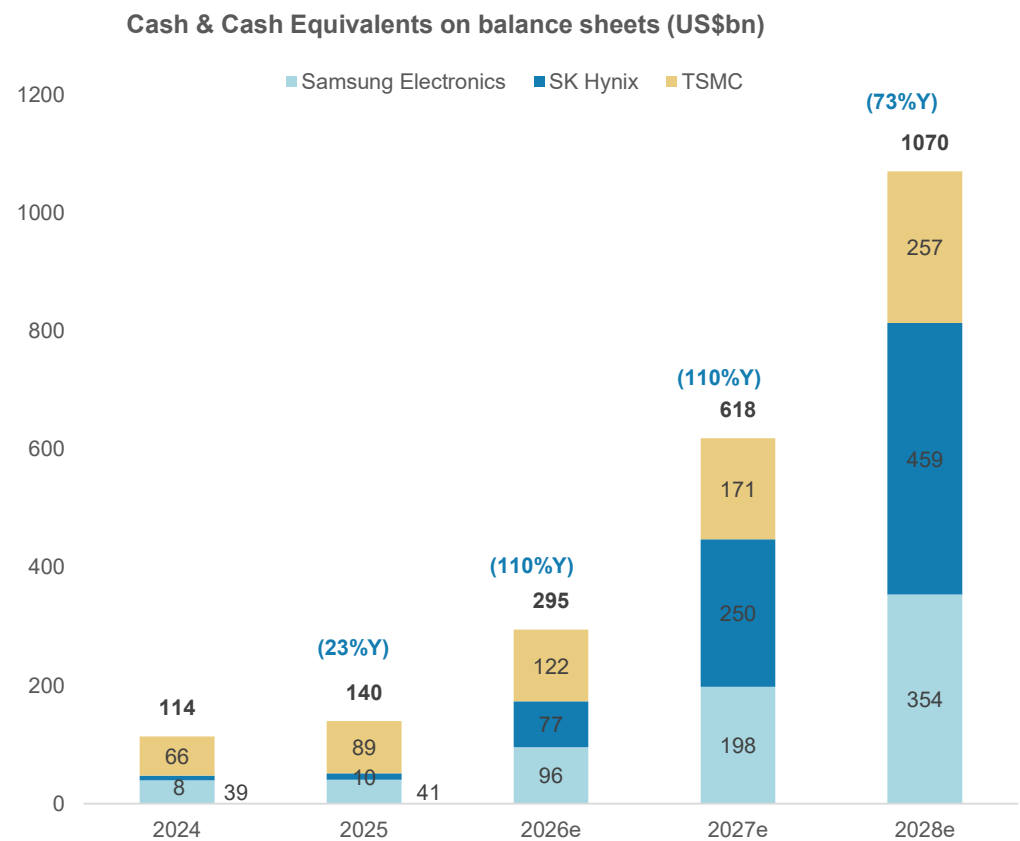
Asia: Hyperscalers largely to fund capex via internal cashflows

Asia AI capex funding mix by source of funds



Source: Company data, Morgan Stanley Research forecasts

Surplus cash balances of major Asian semis companies are rising

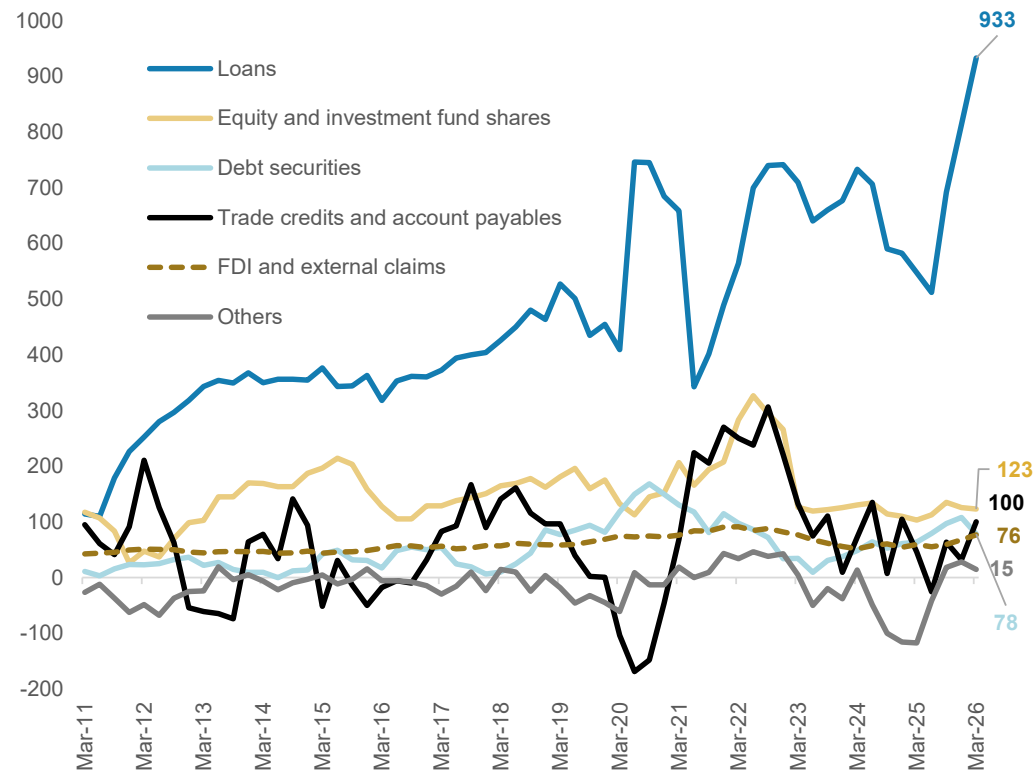


Source: Company data, Morgan Stanley Research forecasts

By economy

Asia ex China: Funding via loans has increased sharply in recent quarters

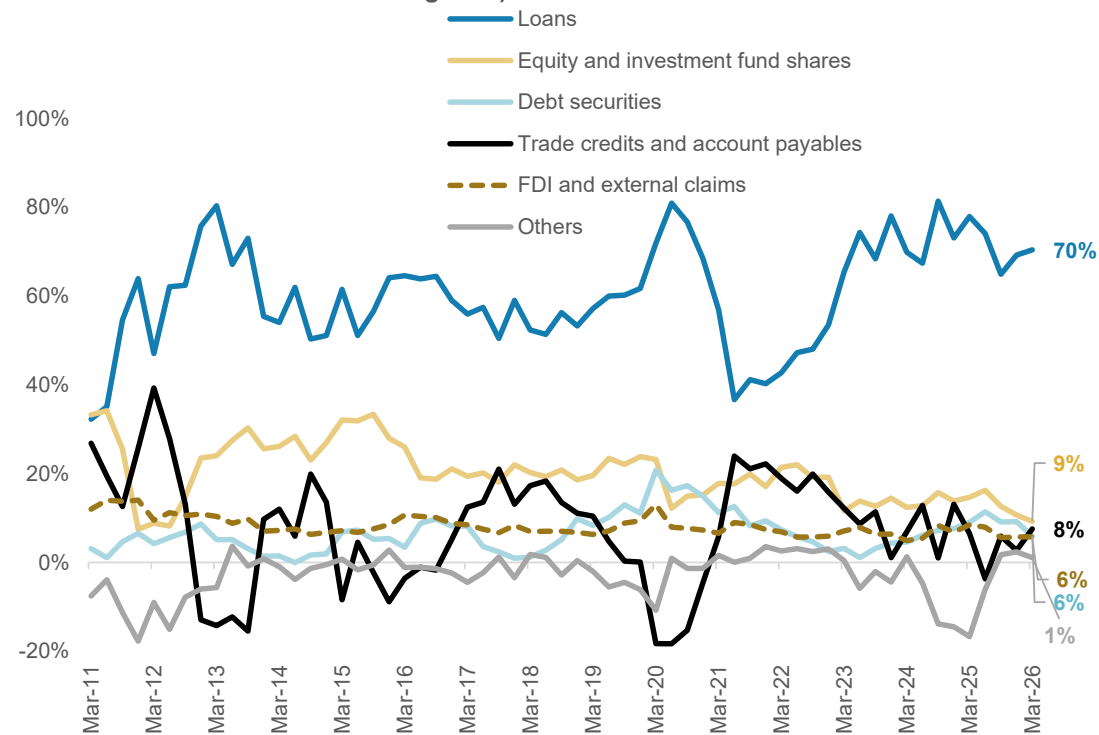
Asia ex China: nonfinancial corporate sector funding mix (US\$bn, 4Q trailing sum)



Source: CEIC, Haver, Morgan Stanley Research; Note: Data is based on flow of funds liability flows data. Due to data availability constraints, Asia ex China include India, Korea, Taiwan, Japan and Australia. Taiwan's official flow of fund data are available through 2024, and figures for 2025 onward are our estimates. India's funding mix before FY2019-20 is based on our estimates derived from a historical flow of funds dataset that has been discontinued. Taiwan's data are available only on an annual basis and have been interpolated to quarterly frequency. For India, data are annual prior to 2024 and have been interpolated to quarterly frequency; official monthly YTD data are available from 2024 onward. Official quarterly data are used for all other economies.

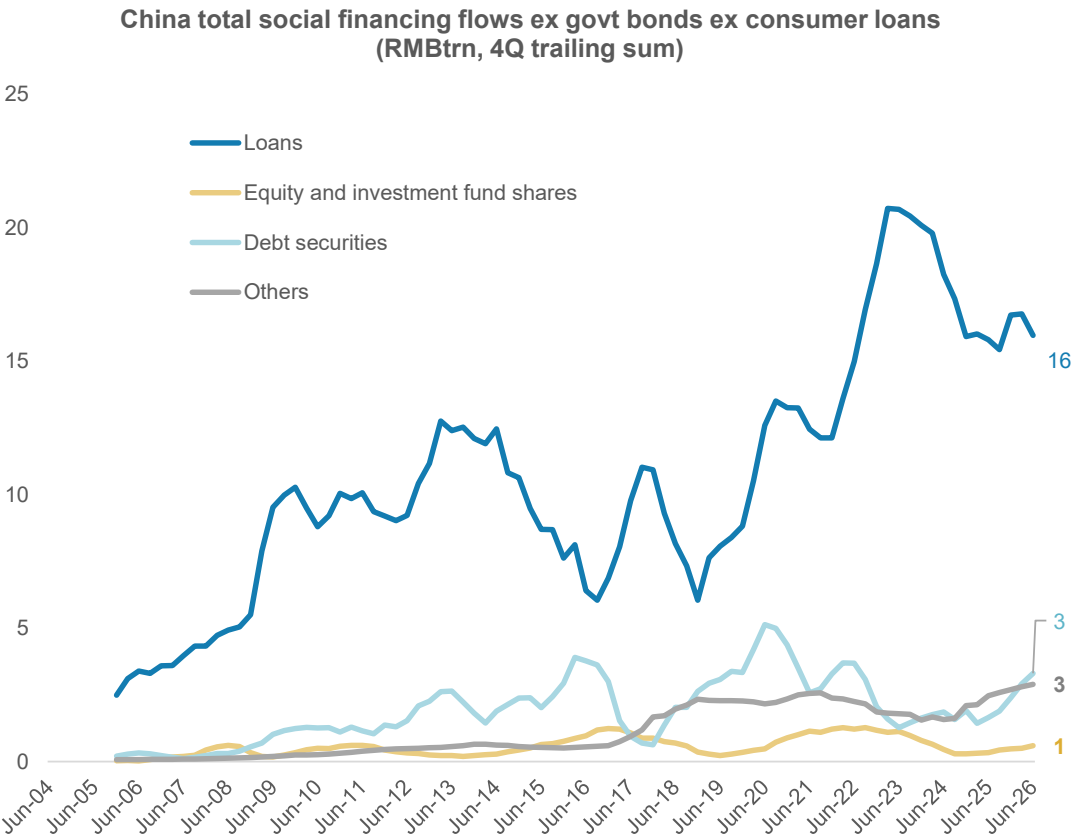
Asia ex China: Loans account for 70% of funding, followed by equities at 9%

Asia ex China: nonfinancial corporate sector funding mix (%share, 4Q trailing sum)



Source: CEIC, Haver, Morgan Stanley Research; Note: Data is based on flow of funds liability flows data. Due to data availability constraints, Asia ex China include India, Korea, Taiwan, Japan and Australia. Taiwan's official flow of fund data are available through 2024, and figures for 2025 onward are our estimates. India's funding mix before FY2019-20 is based on our estimates derived from a historical flow of funds dataset that has been discontinued. Taiwan's data are available only on an annual basis and have been interpolated to quarterly frequency. For India, data are annual prior to 2024 and have been interpolated to quarterly frequency; official monthly YTD data are available from 2024 onward. Official quarterly data are used for all other economies.

China – Loan funding remains the dominant source but has declined



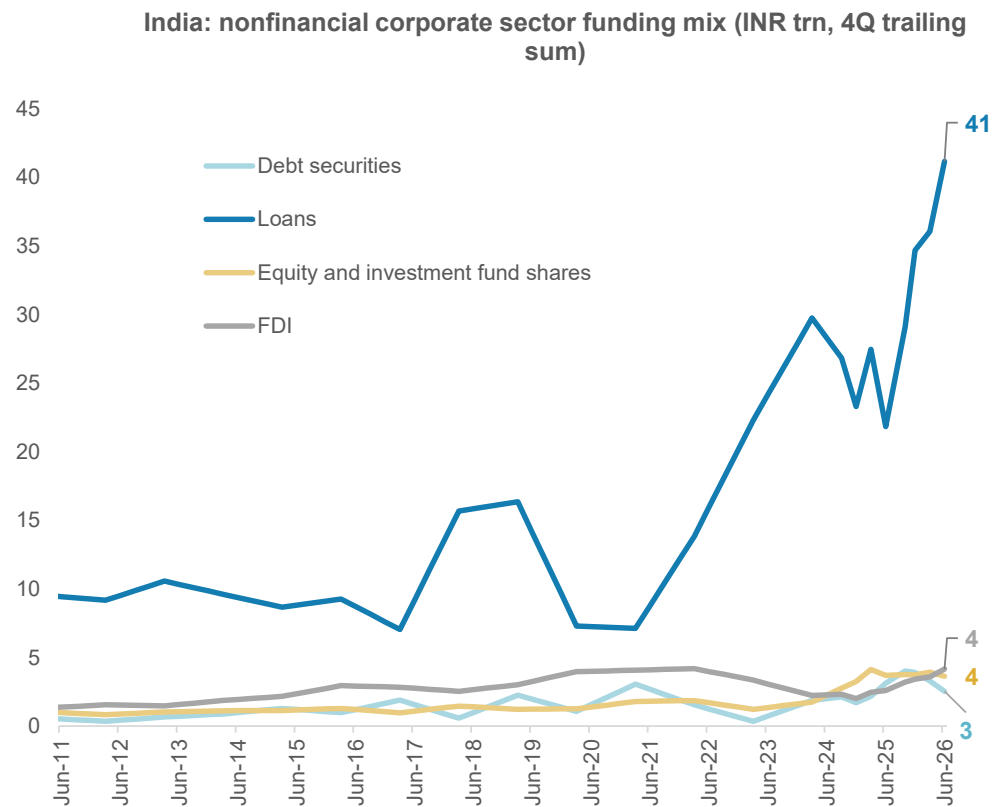
Source: CEIC, Haver, Morgan Stanley Research; Note: As China's flow of funds data provide only a limited breakdown and are available only through 2024, we estimate the funding mix using monthly Total Social Financing (TSF) flow data. Specifically, we exclude government bond financing from TSF and subtract changes in outstanding consumer loans to derive a measure more representative of corporate sector liabilities.

China – Share of debt securities in funding has increased



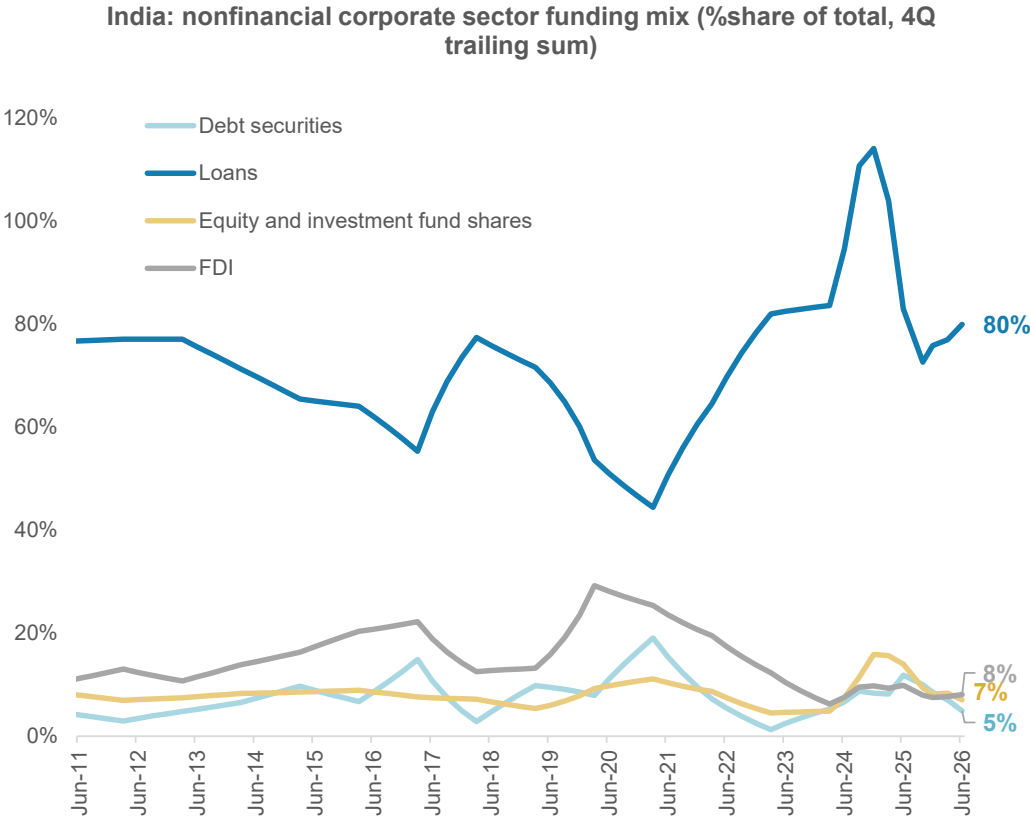
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India – Bank loans remain dominant and have driven the recent pickup in corporate funding



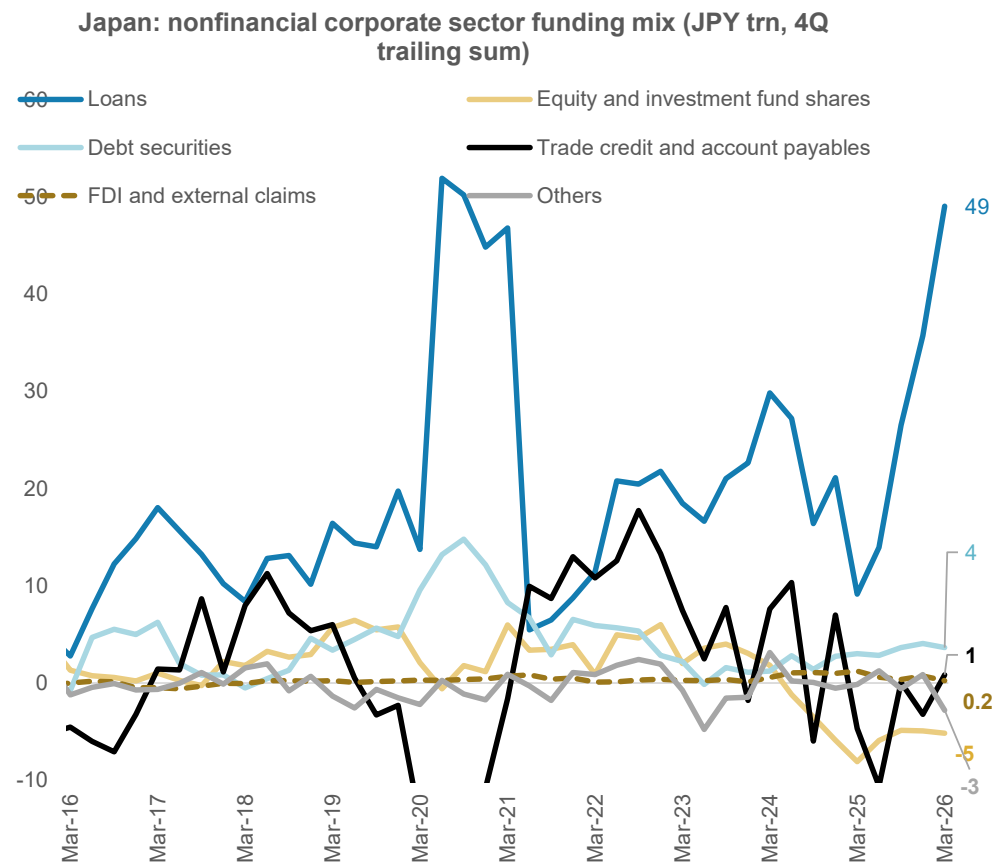
Source: CEIC, Haver, Morgan Stanley Research; Note: Funding mix is based on flow of funds liability flows data. India's funding mix before FY2019-20 is based on our estimates derived from a historical flow of funds dataset that has been discontinued. Data are annual prior to 2024 and have been interpolated to quarterly frequency. Official monthly YTD data are available from 2024 onward.

India – Funding remains heavily concentrated in loans



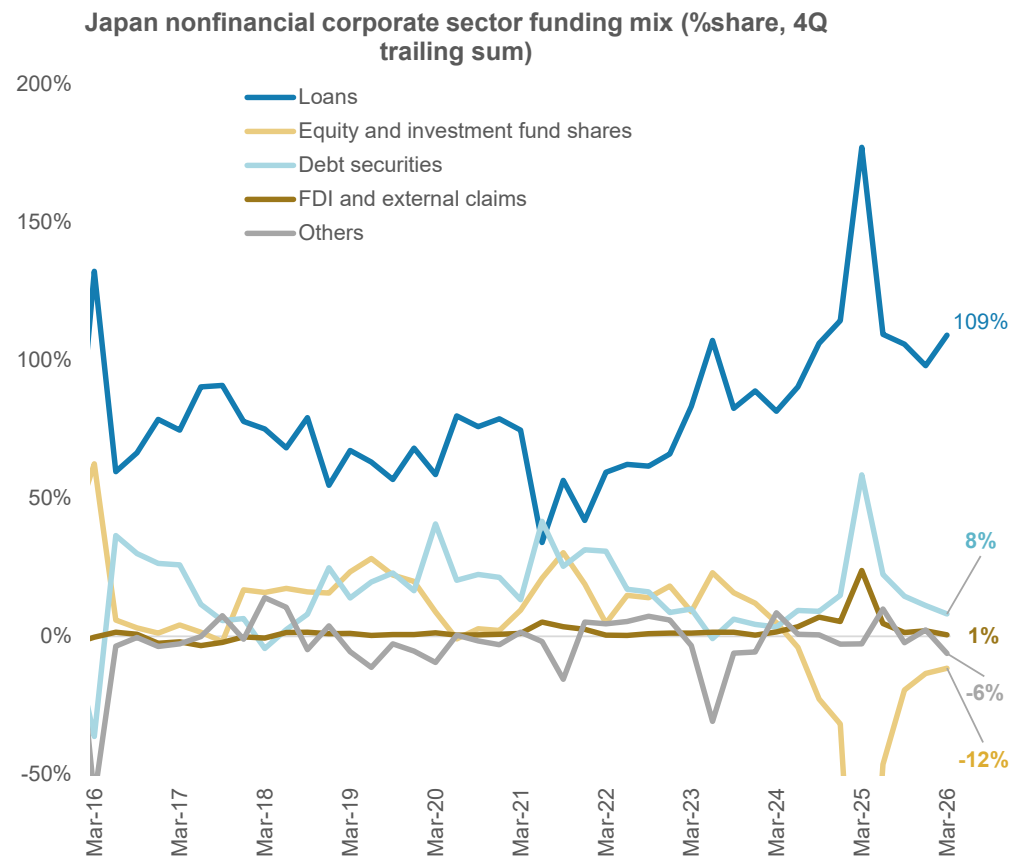
Source: CEIC, Haver, Morgan Stanley Research; Note: Funding mix is based on flow of funds liability flows data. India's funding mix before FY2019-20 is based on our estimates derived from a historical flow of funds dataset that has been discontinued. Data are annual prior to 2024 and have been interpolated to quarterly frequency. Official monthly YTD data are available from 2024 onward.

Japan – Loans have surged, while equity funding has turned negative because of buybacks



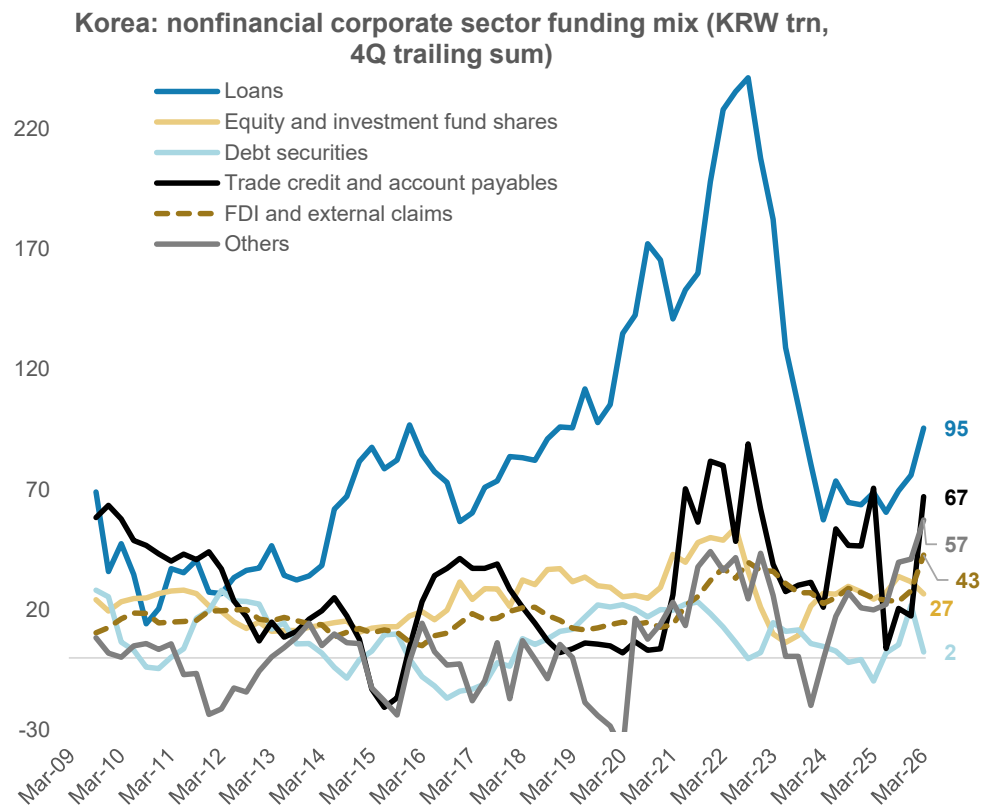
Source: CEIC, Haver, Morgan Stanley Research; Note: Funding mix is based on flow of funds liability flows data. Note: Funding mix in the RHS chart is presented as a share of total liabilities excluding trade credit, given the high volatility of Japan's trade credit flows.

Japan – Loan share has risen above 100% of net funding



Source: CEIC, Haver, Morgan Stanley Research; Note: Funding mix is based on flow of funds liability flows data. Note: Funding mix in the RHS chart is presented as a share of total liabilities excluding trade credit, given the high volatility of Japan's trade credit flows.

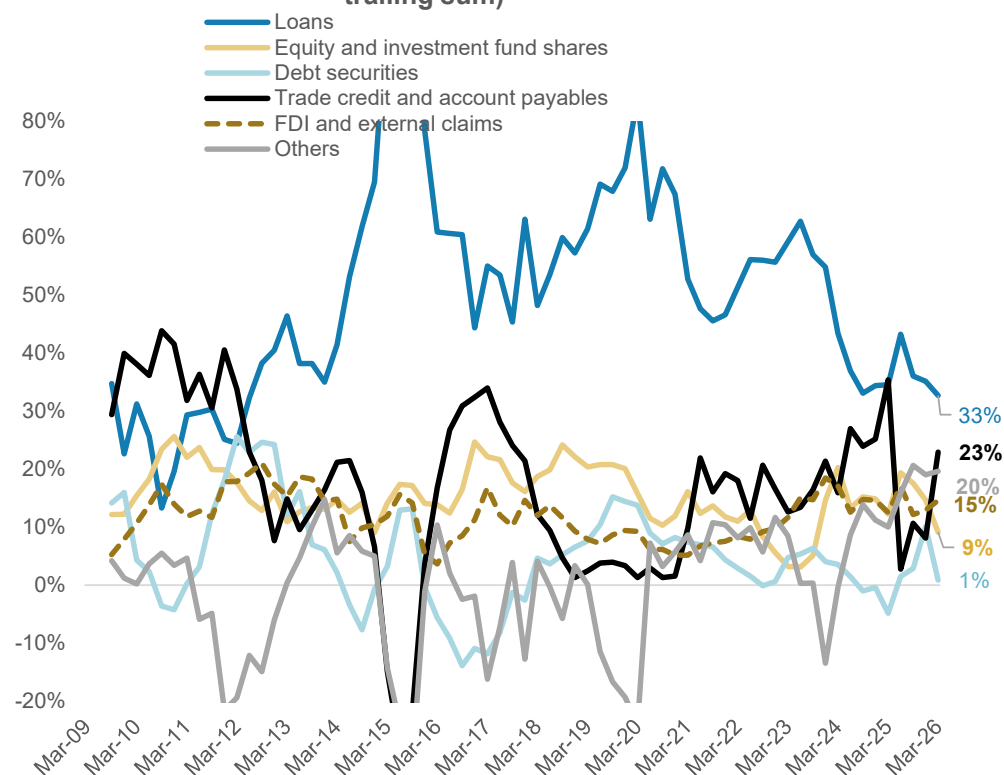
Korea – Funding flows have recovered across several sources including loans, trade credits, and FDI and external claims



Source: CEIC, Haver, Morgan Stanley Research; Note: Funding mix is based on flow of funds liability flows data.

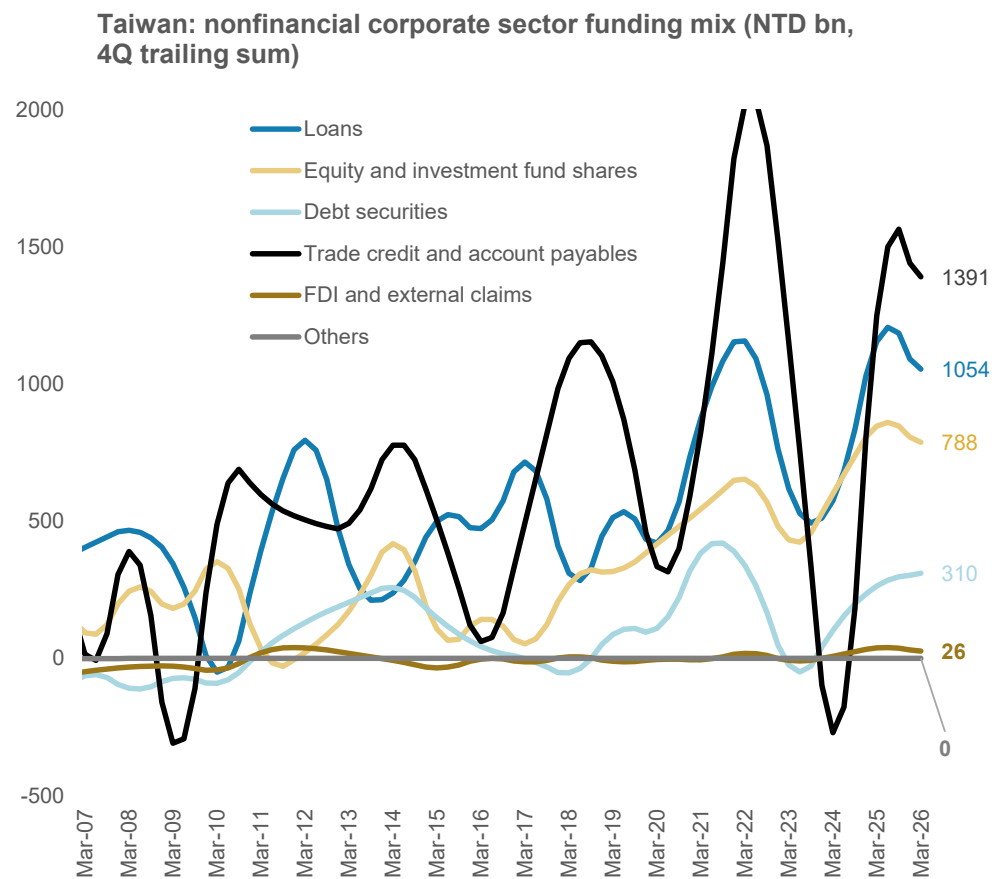
Korea – Loans remain the largest source, though the funding mix is becoming more diversified

Korea: nonfinancial corporate sector funding mix (%share, 4Q trailing sum)



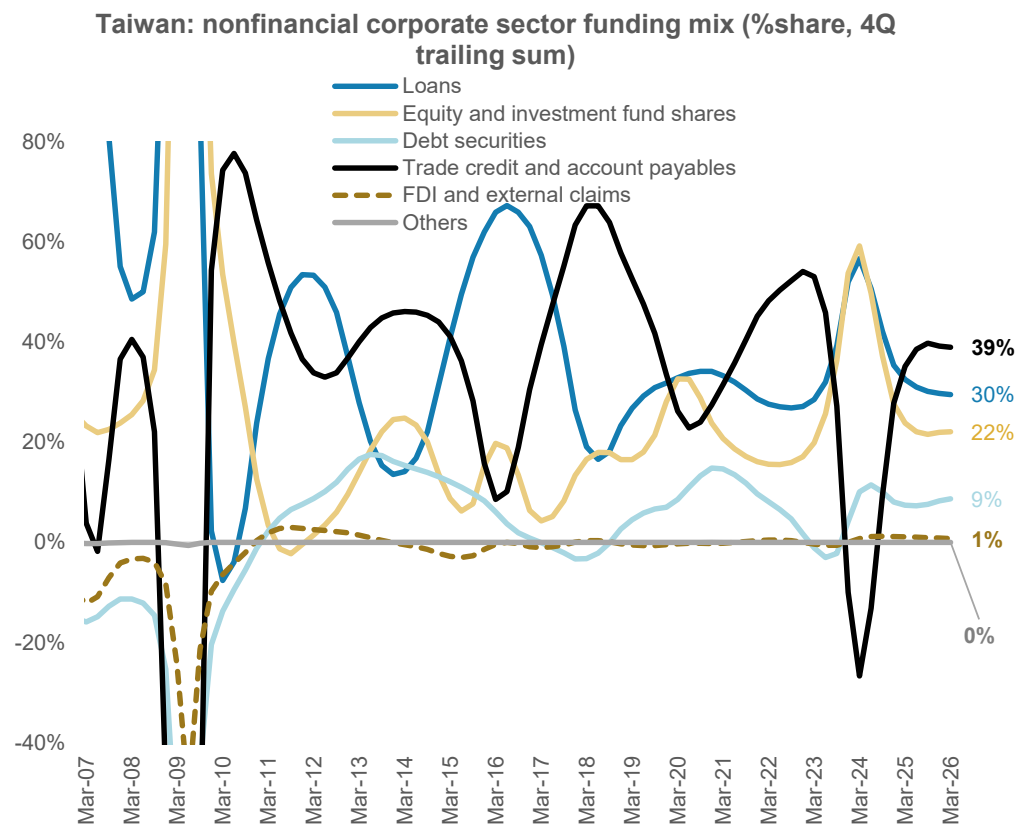
Source: CEIC, Haver, Morgan Stanley Research; Note: Funding mix is based on flow of funds liability flows data.

Taiwan – Funding flows remain broad-based across major sources including trade credits, loans and equity



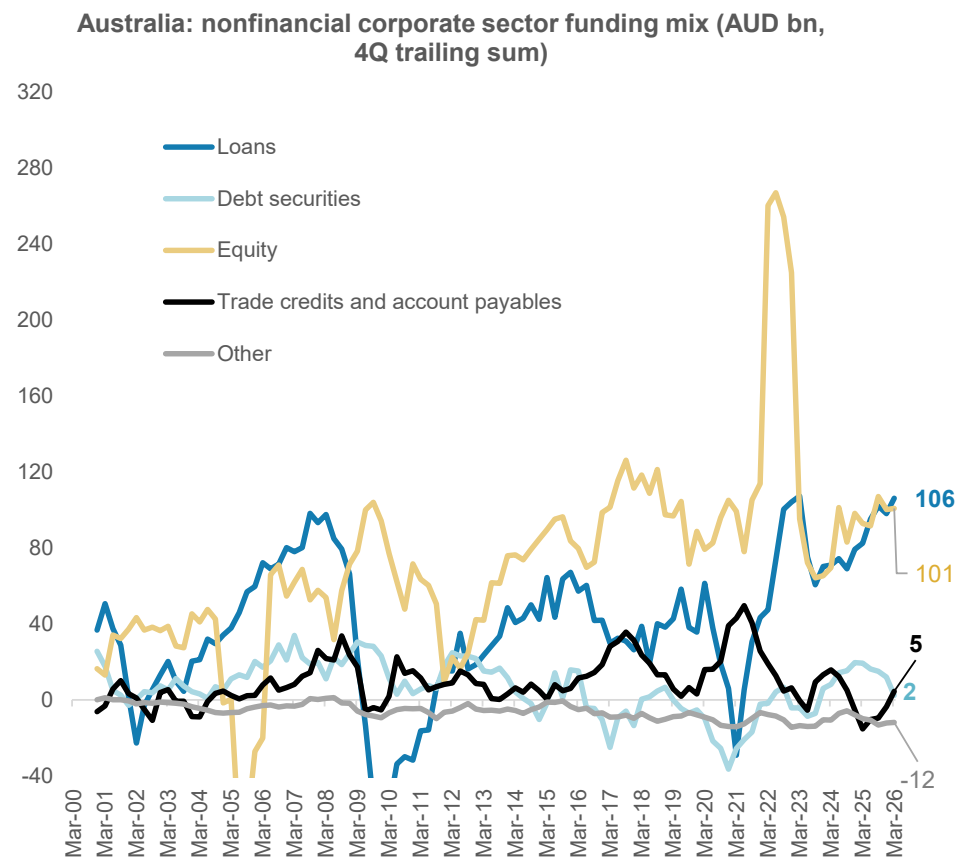
Source: CEIC, Haver, Morgan Stanley Research; Note: Funding mix is based on flow of funds liability flows data. Taiwan's official flow of fund data are available through 2024 and are on an annual basis. Annual data have been interpolated to quarterly frequency. Figures for 2025 onward are our estimates.

Taiwan – Trade credit leads the funding mix, followed by loans and equity



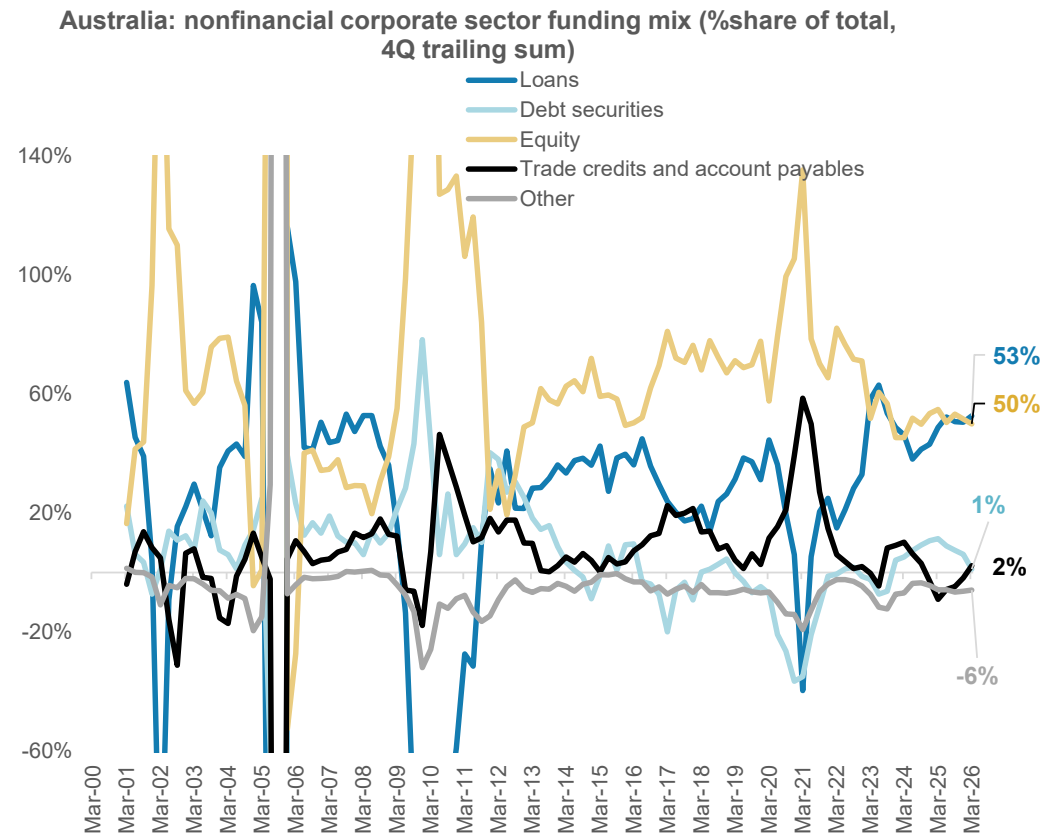
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Australia – Loans and equity funding have strengthened and continue to dominate the funding mix



Source: CEIC, Haver, Morgan Stanley Research; Note: Funding mix is based on flow of funds liability flows data.

Australia – Corporate funding is broadly split between loans and equity



Source: CEIC, Haver, Morgan Stanley Research; Note: Funding mix is based on flow of funds liability flows data.

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